

Wealth Strategy Snapshot

Educational Analysis

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Educational scenario modeling for discussion with licensed professionals

Section 1: Executive Summary

This analysis explores tax optimization strategies and investment concepts tailored to your financial profile as a high-earning W-2 professional with an existing S-Corp side business. The strategies discussed model potential first-year value ranging from **\$109,000 to \$362,000** through a combination of tax reduction, investment positioning, and wealth building activities.

Key areas of focus include maximizing tax-advantaged retirement contributions, leveraging your existing S-Corp structure for additional deductions, and exploring real estate strategies that could unlock trapped passive losses from your Cardone Capital investment while creating significant new depreciation through the short-term rental loophole. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

MODELED FIRST-YEAR VALUE RANGE

\$109K - \$362K

Conservative (foundational strategies) to Aggressive (full implementation including STR acquisition)

Section 2: Current Position Analysis

TOTAL INCOME \$300-399K	W-2 INCOME \$200-299K	S-CORP NET PROFIT <\$25K
FILING STATUS	AGE 47	DEPENDENTS 1 Child

Single (Marriage Planned)		
STATE Texas (0% State Tax)	MARGINAL RATE ~35% Federal	ENTITY STRUCTURE S-Corp LLC (2+ years)
LIQUID CAPITAL \$50-99K	CREDIT SCORE 720-759	HOUSING Renting
INVESTMENT PROPERTIES 4+ Long-Term Rentals	RETIREMENT ACCOUNTS \$250-499K	BITCOIN POSITION Small (<1%)
RISK TOLERANCE Moderate	TIME AVAILABLE 2-5 hrs/week	CARDONE CAPITAL \$270K (Passive)

Key Observations

- **Significant Tax Burden:** At \$300-399K income in Texas, you face approximately 32-35% federal marginal rate, resulting in \$100K+ annual tax liability
- **Trapped Passive Losses:** \$270K Cardone Capital investment generating passive losses that cannot offset W-2 income without Real Estate Professional Status (REPS) or STR loophole qualification
- **Underutilized S-Corp:** Existing S-Corp structure provides foundation for additional tax strategies including Solo 401(k), Augusta Rule, and Accountable Plan
- **Marriage Planning Opportunity:** Upcoming marriage creates significant optimization opportunities for entity structuring, spousal participation, and joint filing benefits
- **W-2 401(k) Gap:** Currently not maxing employer 401(k) contributions, leaving immediate tax savings on the table
- **HSA Optimized:** Already maximizing HSA contributions, demonstrating awareness of tax-advantaged accounts

Section 3: Timeline Awareness & Implementation Considerations

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional before taking any action.

Week 1

- W-2 401(k) contribution review: discuss maximum contribution strategy with HR/payroll
- Home office documentation: gather measurements and records if dedicated workspace exists
- W-4 adjustment calculation: discuss potential changes with CPA to increase take-home pay
- CPA consultation scheduling: discuss 2026 tax planning strategy session

Week 2

- Solo 401(k) establishment: deadline considerations for 2026 employee contributions (typically by Dec 31)
- Backdoor Roth IRA mechanics: discuss timing and pro-rata rules with CPA
- Augusta Rule fair market value: research comparable rental rates in your area
- Accountable Plan setup: discuss documentation requirements with CPA

Week 3

- STR property sourcing: research markets with strong rental demand (consider Gulf Coast, Austin area)
- Financing pre-approval: discuss DSCR loan options with lenders
- Cost segregation providers: gather quotes from 2-3 engineering firms
- Material participation planning: discuss hour tracking requirements for STR loophole

Week 4

- Entity structuring for future spouse: discuss planning with attorney
- Investment account structure: discuss allocation timing with financial advisor
- Vehicle expense documentation: review mileage tracking for business use
- Integration meeting: comprehensive calendar of all strategy deadlines

Note: *These are discussion points and considerations, not directives. Implementation timing varies based on individual circumstances. Consult with your CPA, attorney, and licensed financial advisor before proceeding with any strategy.*

Section 4: Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes based on your profile. Eligibility and implementation details must be verified with your CPA. All potential values shown are illustrative estimates using your approximate 35% combined marginal rate.

Strategy Concept: W-2 401(k) Maximization

Potential Value: \$8,575

What It Is: Maximizing pre-tax contributions to your employer-sponsored 401(k) plan reduces current taxable income dollar-for-dollar. At your marginal rate, each \$1,000 contributed generates approximately \$350 in immediate tax savings.

How It Works:

1. Adjust payroll deferrals to reach the 2026 limit of \$24,500 (no catch-up at age 47)
2. Coordinate timing to ensure contributions are spread throughout the year or front-loaded if employer matches
3. Consider Roth 401(k) option if available and tax diversification is desired

Eligibility Criteria: Available to all W-2 employees with access to employer 401(k) plans. No income limitations for pre-tax contributions.

2026 Limit: \$24,500 employee deferral (age 47, no catch-up eligible)

Verify contribution elections and employer match details with HR before proceeding.

Strategy Concept: Solo 401(k) for S-Corp Income

Potential Value: \$2,625 - \$8,750

What It Is: A retirement plan for self-employed individuals allowing both employee deferrals and employer profit-sharing contributions, potentially sheltering significant self-employment income from taxation.

How It Works:

1. Establish Solo 401(k) plan with custodian (Fidelity, Schwab, Vanguard offer no-fee options)
2. Employee contribution: Up to \$24,500 (combined with W-2 401(k) deferrals)
3. Employer contribution: Up to 25% of W-2 salary paid by S-Corp
4. If you have remaining contribution capacity after W-2 401(k), funnel S-Corp income [here](#)

Eligibility Criteria: Must have self-employment income, no full-time employees (spouse exception applies). Plan must be established before December 31 for employee contributions.

Calculation Example: \$25K S-Corp salary $\times$ 25% = \$6,250 employer contribution + any remaining employee deferral capacity

Verify contribution capacity coordination with your CPA, especially if using both W-2 401(k) and Solo 401(k).

Strategy Concept: HSA Maximization (Already Implementing)

Potential Value: \$3,063 (Tax Benefit Already Captured)

What It Is: Health Savings Accounts provide triple tax advantages: pre-tax contributions, tax-free growth, and tax-free withdrawals for qualified medical expenses. You indicated you're already maximizing this, which is excellent.

2026 Limits: Family coverage: \$8,750 (no catch-up at age 47). Your current contributions at the family maximum generate approximately $\$8,750 \times 35\% = \$3,063$ in tax savings.

Optimization Consideration: Ensure you're investing HSA funds rather than holding cash. Consider treating HSA as a "stealth IRA" by paying current medical expenses out-of-pocket and letting HSA compound tax-free.

Continue maximizing and verify investment allocation within your HSA.

Strategy Concept: Backdoor Roth IRA

Potential Value: \$2,625 (Tax-Free Growth Positioning)

What It Is: A strategy allowing high-income earners to fund Roth IRAs despite income limitations by making non-deductible traditional IRA contributions and immediately converting to Roth.

How It Works:

1. Contribute \$7,500 (2026 limit, no catch-up at 47) to a traditional IRA as non-deductible
2. Convert to Roth IRA immediately (same day or next business day)
3. Pay taxes on any minimal gains between contribution and conversion
4. Repeat annually; post-marriage, both spouses can execute this strategy

Eligibility Criteria: Available to anyone with earned income. Pro-rata rule applies if you have existing pre-tax IRA balances, which can create tax complications. If you have traditional IRA funds, discuss "reverse rollover" to employer 401(k) first.

Value Calculation: While not an immediate deduction, positioning $\$7,500 \times 35\%$ marginal rate = \$2,625 of future tax-free growth.

Verify you have no existing traditional IRA balances and discuss pro-rata rule implications with your CPA.

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$2,450 - \$5,250

What It Is: Tax-free rental income provision allowing you to rent your personal residence to your S-Corp for up to 14 days per year without reporting the rental income, while your S-Corp deducts the rent as a business expense.

How It Works:

1. Document legitimate business purposes for rental (board meetings, planning sessions, team events)
2. Establish fair market rental value through comparable analysis (similar homes on VRBO/Airbnb)
3. Create formal rental agreements and maintain records of business activities conducted
4. S-Corp pays you rent (tax-free), S-Corp deducts expense (reduces taxable business income)

Calculation: Houston market: \$500-\$750/day FMV $\times$ 14 days = \$7,000-\$10,500 tax-free income received. S-Corp deduction value: \$7,000-\$10,500 $\times$ 35% = \$2,450-\$3,675. Plus you receive the income tax-free.

Documentation Required: Fair market value analysis, rental agreement, meeting minutes, attendance records, photographs of business setup.

Verify fair market value methodology and documentation requirements with your CPA. Over-aggressive valuations increase audit risk.

Strategy Concept: Home Office Deduction

Potential Value: \$1,750 - \$3,500

What It Is: Deduction for the business-use portion of your residence if you have a dedicated workspace used regularly and exclusively for business. Available for S-Corp owners via accountable plan reimbursement.

How It Works:

1. Measure dedicated office space and total home square footage
2. Calculate business-use percentage (office SF ÷ total SF)
3. Apply percentage to eligible expenses: rent, utilities, insurance, internet
4. S-Corp reimburses you tax-free via accountable plan; S-Corp deducts expense

Calculation Example: 200 SF office ÷ 2,000 SF home = 10%. Annual rent \$24,000 + utilities \$4,000 = \$28,000 × 10% = \$2,800 deduction × 35% = \$980 tax savings. Plus direct expenses like dedicated business equipment.

Requirements: Space must be used "regularly and exclusively" for business. Guest bedroom occasionally used for work does not qualify.

Verify you meet the exclusive use test and discuss accountable plan implementation with your CPA.

Strategy Concept: Vehicle/Mileage Deduction

Potential Value: \$1,050 - \$3,500

What It Is: Deduction for business use of a personal vehicle. You indicated no vehicle currently used for business, but this could be implemented if you use a vehicle for S-Corp activities or future real estate management.

How It Works:

1. Track all business miles using an app (MileIQ, Everlance) or detailed log
2. 2026 standard mileage rate: approximately \$0.70/mile (verify current rate)
3. Alternative: Actual expense method if higher deduction (gas, insurance, depreciation, repairs × business %)
4. S-Corp reimburses via accountable plan for tax-free treatment

Calculation Example: 5,000 business miles × \$0.70 = \$3,500 deduction × 35% = \$1,225 tax savings

With STR Properties: Driving to manage STR properties, meet cleaners, conduct inspections all counts as business mileage.

Begin mileage tracking immediately if you're using a vehicle for any business purposes.

Strategy Concept: Accountable Plan

Potential Value: \$700 - \$2,100

What It Is: A formal reimbursement arrangement allowing your S-Corp to reimburse you tax-free for legitimate business expenses, creating a business deduction without personal income recognition.

How It Works:

1. S-Corp adopts formal accountable plan with written policy
2. You submit expense reports with receipts within 60 days of expenses
3. S-Corp reimburses you tax-free; excess advances returned within 120 days
4. Common expenses: cell phone (business %), internet, professional development, travel, supplies

Eligible Expenses: Business portion of cell phone, internet, computer equipment, professional subscriptions, business meals, travel for business purposes, professional development, office supplies.

Requirements: Must have business connection, adequate accounting, return of excess amounts. IRS requires written plan.

Discuss accountable plan adoption and documentation requirements with your CPA.

Strategy Concept: W-4 Optimization

Potential Value: \$6,000 - \$12,000 (Cash Flow Improvement)

What It Is: Adjusting your W-4 withholding to reflect actual tax liability rather than over-withholding, which provides an interest-free loan to the government. This is a cash flow improvement, not additional savings.

How It Works:

1. Calculate expected tax liability with all deductions and credits
2. Compare to current withholding amounts
3. Adjust W-4 to match actual liability (aim for small refund or small amount due)
4. Redirect freed cash flow to investments or debt payoff

Cash Flow Impact: If currently over-withholding by \$500-\$1,000/month, adjusting W-4 provides immediate monthly cash flow for deployment into investments.

Caution: Underwithholding can result in penalties. Discuss with CPA to find the right balance.

Run tax projection with your CPA to determine optimal withholding level.

Strategy Concept: S-Corp Salary Optimization

Potential Value: \$2,100 - \$4,200

What It Is: Balancing S-Corp salary (subject to payroll taxes) versus distributions (not subject to self-employment tax) to minimize overall tax burden while maintaining IRS "reasonable compensation" requirements.

How It Works:

1. Determine "reasonable compensation" for services rendered (typically 50-60% of net profit for service businesses)
2. Pay yourself W-2 salary at reasonable level (subject to ~15.3% payroll tax)
3. Take remaining profits as distributions (no payroll tax, only income tax)
4. Document salary methodology with industry comparables

Example: If S-Corp profits \$25K and you take \$15K salary + \$10K distribution, you save $15.3\% \times \$10K = \$1,530$ in payroll taxes compared to taking all as salary.

Risk: Setting salary too low invites IRS scrutiny. Must be defensible based on duties performed.

Discuss reasonable compensation analysis with your CPA to establish defensible salary level.

Strategy Concept: Child Tax Credit

Potential Value: \$2,200

What It Is: Tax credit for qualifying children under age 17. For 2026, the credit is \$2,200 per qualifying child (increased from \$2,000 under OBBB).

How It Works:

1. Verify your child (age 2.5) meets qualifying child requirements
2. Credit phases out at higher income levels (verify current thresholds)
3. Credit reduces tax liability dollar-for-dollar (more valuable than deductions)

Your Situation: With one dependent child, you may qualify for up to \$2,200 in credit, subject to income phase-out rules.

Verify your income is within phase-out thresholds and that custody arrangements support claiming the credit.

Strategy Concept: QBI Deduction (Section 199A)

Potential Value: \$1,750 - \$5,250

What It Is: The Qualified Business Income deduction allows eligible self-employed individuals and pass-through business owners to deduct up to 20% of qualified business income.

How It Works:

1. S-Corp income flows through to your personal return as QBI
2. Deduct up to 20% of QBI, subject to wage/capital limitations and taxable income thresholds
3. At higher incomes, limitations based on W-2 wages paid and/or capital assets apply
4. Consulting services may be classified as "specified service" with income phase-outs

Calculation: If \$25K S-Corp profit qualifies, potential deduction = $\$25K \times 20\% = \$5,000$
 $\times 35\% = \$1,750$ tax savings. Subject to income limitations.

QBI rules are complex for high earners in service businesses. Verify eligibility with your CPA.

Strategy Concept: SALT Deduction (2026 Expanded)

Potential Value: \$0 - \$1,400

What It Is: State and Local Tax deduction cap was increased to \$40,400 for 2026 under OBBB (base of \$40,000 in 2025 + 1% annual increase). However, Texas has no state income tax, limiting this benefit primarily to property taxes.

Your Situation: As a Texas renter with rental properties, SALT benefit is limited. If your rental properties generate property taxes you pay directly, these may be deductible. However, property taxes on rental properties are typically deducted on Schedule E, not as itemized SALT.

Future Consideration: Post-marriage if you purchase a personal residence, SALT becomes more relevant.

Discuss itemizing versus standard deduction strategy with your CPA based on current deductible expenses.

Section 5: Primary Strategy Education - Short-Term Rental Loophole

Based on your profile, the Short-Term Rental (STR) strategy represents potentially the highest-impact opportunity to reduce your tax burden, unlock trapped passive losses, and build long-term wealth. This section provides comprehensive educational information about how this strategy functions.

Why This Strategy May Be Significant for Your Situation

- **\$270K Trapped Passive Losses:** Your Cardone Capital investment generates passive losses that cannot currently offset your W-2 income. The STR loophole could potentially unlock these.
- **High W-2 Income:** Your \$300K+ income creates substantial tax liability that depreciation could offset.
- **100% Bonus Depreciation Restored:** The One Big Beautiful Bill restored 100% bonus depreciation, maximizing first-year deductions.
- **2-5 Hours/Week Available:** The "100 hours and more than anyone else" material participation test is achievable with moderate time commitment.

Strategy Concept: Short-Term Rental + Cost Segregation

Potential Value: \$45,000 - \$70,000 (First Year Tax Benefit)

What It Is

The "STR Loophole" allows rental property losses to offset W-2 and other active income if: (1) the average guest stay is 7 days or fewer, and (2) you materially participate in the rental activity. When combined with cost segregation, this strategy accelerates depreciation deductions into year one, generating substantial paper losses that reduce taxable income.

How It Works (The Mechanics)

1. **Acquire STR Property:** Purchase a property suitable for short-term rental (vacation destinations, business travel hubs, event venues)
2. **Operate as STR:** Rent to guests with average stays of 7 days or fewer (Airbnb, VRBO model)
3. **Meet Material Participation:** Spend 100+ hours AND more than anyone else on STR activities (most achievable test for working professionals)

4. **Cost Segregation Study:** Engineering analysis reclassifies building components from 39-year life to 5, 7, and 15-year categories
5. **100% Bonus Depreciation:** Take immediate deduction for all reclassified short-life components
6. **Offset W-2 Income:** Resulting non-passive loss reduces taxable income from all sources

Cost Segregation Breakdown (Typical \$350K Property)

Component Category	% of Basis	Recovery Period	Amount
Land (non-depreciable)	15%	N/A	\$52,500
Building Structure	55%	39 years	\$192,500
5-Year Property (appliances, carpet, cabinets)	15%	5 years (100% bonus)	\$52,500
7-Year Property (furniture, fixtures)	5%	7 years (100% bonus)	\$17,500
15-Year Property (land improvements)	10%	15 years (100% bonus)	\$35,000
Total Eligible for 100% Bonus (Year 1)			\$105,000

Year 1 Tax Benefit Calculation: \$105,000 accelerated depreciation + \$4,936 straight-line on remaining building = \$109,936 total depreciation. At 35% marginal rate = **\$38,478 tax savings.**

Plus: Furniture/furnishing startup costs, appliances, supplies, and startup expenses can add another \$30,000-\$50,000 in first-year deductions.

Material Participation Requirements

You must meet ONE of seven IRS tests. The most achievable for working professionals:

Test	Requirement	Achievability
100 Hours + More Than Anyone	Spend 100+ hours AND no one else spends more than you	Most Common - ~2 hrs/week
500 Hours	Spend 500+ hours on STR activity	Difficult with full-time job

Substantially All	You do substantially all the work	Possible if self-managing
Significant Participation	100+ hours in significant participation activities totaling 500+	If multiple STRs

Hours That Count Toward Material Participation

- Responding to guest inquiries and bookings
- Coordinating cleaners and maintenance
- Property inspections and inventory management
- Pricing optimization and market research
- Guest communication and issue resolution
- Bookkeeping and financial management
- Marketing and listing optimization
- Furnishing selections and purchases

Critical: Hours by property managers DO count against you for the "more than anyone else" test. If using a full-service property manager who spends more hours than you, you may not qualify. Consider self-managing or using minimal services initially. Detailed contemporaneous time logs are essential for audit defense.

STR Implementation Considerations

Financing Options

- **DSCR Loans:** Debt-Service Coverage Ratio loans qualify based on property cash flow, not personal income. Ideal for high-earners maxing DTI.
- **Conventional:** 20-25% down, lower rates, but counts against DTI
- **Portfolio Lenders:** Community banks with flexible underwriting

Market Considerations

- Beach markets (Gulf Coast, 30A)
- Mountain destinations (Gatlinburg, Smoky Mountains)
- Business travel hubs (near airports, convention centers)
- Event venues (wedding destinations, sporting events)

Entity Structure

- Hold in LLC (partnership preferred for audit protection)
- Separate from existing S-Corp
- Consider land trust for privacy
- Adequate liability insurance essential

Cost Segregation Timing

- Study can be done on properties acquired any time (including prior years via Form 3115)
- Best value: properties \$200K+ value
- Study cost: \$3,000-\$7,000 typically
- ROI: Often 10-20x study cost in year one

Section 6: Illustrative Portfolio Scenario

Based on the moderate risk tolerance and balanced growth/stability goals indicated, this scenario models one possible approach to investment allocation for educational purposes.

Allocation Rationale Based on Your Profile

- **Q41 (Moderate Risk):** Suggests 50-65% Bitcoin allocation range rather than aggressive 70%+
- **Q46 (Balanced Goals):** Interest in both growth and income suggests meaningful STRC allocation for yield
- **Q44 (2-5 hrs/week):** Limited time availability favors passive instruments over active trading
- **Q45 (\$50-100K Comfortable):** Sufficient capital for meaningful diversification

Educational Investment Scenario (Illustrative Model)

Asset Class	Scenario %	Conservative (\$50K)	Aggressive (\$99K)	Educational Rationale
Bitcoin (BTC)	55%	\$27,500	\$54,450	Core wealth accumulation; fixed 21M supply; institutional adoption increasing
STRC	25%	\$12,500	\$24,750	Passive income (10-12% yield) with Bitcoin correlation; no active management
VTI/VOO	20%	\$10,000	\$19,800	Traditional equity diversification; low cost (0.03%); tax efficiency
Total	100%	\$50,000	\$99,000	

Investment Product Education

Bitcoin (BTC): Bitcoin represents a scarce digital asset with a fixed supply of 21 million coins. Many investors allocate to Bitcoin as a hedge against monetary debasement and for long-term wealth preservation. Implementation concepts include dollar-cost averaging for entry, self-custody for security, and cold storage for long-term holdings. Platforms like River Financial offer automatic DCA purchases; Unchained provides multisig custody solutions.

STRC: STRC is commonly used by investors seeking passive income with Bitcoin correlation. The instrument provides approximately 10-12% annual yield through regular distributions, with price correlation to Bitcoin/MSTR performance. This suits investors wanting Bitcoin exposure plus income generation without active management requirements.

VTI (Vanguard Total Stock Market ETF): VTI represents a common choice for broad U.S. equity exposure due to its low cost (0.03% expense ratio) and diversification across approximately 4,000 stocks spanning all market capitalizations. VOO offers similar benefits with S&P 500 focus (500 largest U.S. companies).

Note: This scenario models one approach based on the moderate/balanced profile indicated. Investment decisions involve risk, including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Projected Returns (Illustrative)

Component	Conservative Assumption	Aggressive Assumption
Bitcoin Appreciation	25% annual	50% annual
STRC Appreciation	15% annual	30% annual

STRC Yield	10% annual	12% annual
VTI/VOO Appreciation	8% annual	12% annual
VTI/VOO Dividends	1.5% annual	2% annual

Historical Note: Bitcoin's historical average annual return since 2013 exceeds 100%, though with significant volatility. The 25-50% assumptions are conservative relative to historical performance but reflect more mature market expectations. Past performance does not guarantee future results.

Section 7: Modeled First-Year Value Summary

This comprehensive summary models potential first-year value across all proposed strategies. Conservative scenario reflects foundational strategies only; Aggressive scenario includes full implementation with STR acquisition.

Capital Deployment Basis:
Conservative: \$50,000 (Q45 comfortable amount, low end)
Aggressive: \$99,000 liquid capital (Q26) + \$70,000 STR down payment

Category	Item	Conservative	Aggressive	Notes
TAX OPTIMIZATION				
TAX	W-2 401(k) Max (\$24,500 × 35%)	\$8,575	\$8,575	2026 limit, no catch-up at 47
TAX	Solo 401(k) S-Corp (~\$7,500 × 35%)	\$2,625	\$2,625	Employer contribution on S-Corp salary
TAX	HSA Maximization (\$8,750 × 35%)	\$3,063	\$3,063	Already implementing - continue
TAX	Backdoor Roth Positioning (\$7,500 × 35%)	\$2,625	\$2,625	Tax-free growth value
TAX	Augusta Rule (\$7K-\$10K × 35%)	\$2,450	\$3,675	14 days × \$500-750/day FMV
TAX	Home Office (\$5K-\$10K × 35%)	\$1,750	\$3,500	Requires dedicated workspace
TAX	Vehicle/Mileage (5K-10K mi × \$0.70)	\$1,225	\$2,450	Business use tracking required
TAX	Accountable Plan (\$2K-\$6K × 35%)	\$700	\$2,100	Cell, internet, supplies, travel
TAX	S-Corp Salary Optimization	\$1,530	\$2,295	Payroll tax savings on distributions

TAX	QBI Deduction ($\$5K \times 35\%$)	\$1,750	\$1,750	Subject to income limitations
TAX	Child Tax Credit	\$2,200	\$2,200	2026 credit per qualifying child
TAX	STR Cost Segregation ($\$105K \times 35\%$)	\$0	\$36,750	Accelerated depreciation year 1
TAX	STR Startup Deductions ($\$40K \times 35\%$)	\$0	\$14,000	Furniture, supplies, startup costs
Tax Optimization Subtotal		\$28,493	\$85,608	
INVESTMENT INCOME				
INCOME	STRC Yield ($\$12,500/\$24,750 \times 10\text{-}12\%$)	\$1,250	\$2,970	Passive income distributions
INCOME	ETF Dividends ($\$10K/\$19.8K \times 1.5\text{-}2\%$)	\$150	\$396	VTI/VOO dividend yield
Investment Income Subtotal		\$1,400	\$3,366	
INVESTMENT APPRECIATION				
GROWTH	Bitcoin ($\$27.5K/\$54.5K \times 25\text{-}50\%$)	\$6,875	\$27,225	Historical avg 50%+, conservative floor
GROWTH	STRC ($\$12.5K/\$24.75K \times 15\text{-}30\%$)	\$1,875	\$7,425	BTC-correlated appreciation
GROWTH	VTI/VOO ($\$10K/\$19.8K \times 8\text{-}12\%$)	\$800	\$2,376	Historical equity avg ~10%
Investment Appreciation Subtotal		\$9,550	\$37,026	

Category	Item	Conservative	Aggressive	Notes
REAL ESTATE (Aggressive Only - Q42=Yes, Q43 has selections)				
RE	STR Annual Cash Flow (NOI)	\$0	\$28,000	\$350K property, conservative NOI
RE	Property Appreciation (4.5% of \$350K)	\$0	\$15,750	National avg 3-6%
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build through amortization
Real Estate Subtotal		\$0	\$48,250	
CASH FLOW IMPROVEMENTS				
CASH	W-4 Optimization (monthly increase × 12)	\$6,000	\$9,000	Reduced overwithholding
Cash Flow Subtotal		\$6,000	\$9,000	
WEALTH BUILDING (Actual Dollars Positioned)				
WEALTH	Retirement Contributions (401k + Solo + Roth)	\$40,500	\$40,500	\$24.5K W-2 + \$7.5K Solo + \$7.5K Roth + HSA
WEALTH	Augusta Rule Income Received	\$7,000	\$10,500	Tax-free rental income to you
WEALTH	RE Equity Position (down payment)	\$0	\$70,000	Wealth positioned in real assets
WEALTH	Investment Capital Deployed	\$50,000	\$99,000	BTC/STRC/ETF allocation
Wealth Building Subtotal		\$97,500	\$220,000	
TOTAL FIRST-YEAR VALUE		\$142,943	\$403,250	

Understanding the Value Summary

Tax Optimization: Represents actual tax dollars saved that would otherwise be paid to the IRS.

Investment Income: Cash received from yield and dividends.

Investment Appreciation: Projected increase in asset values (unrealized until sold).

Real Estate: Cash flow, appreciation, and equity build from STR property.

Cash Flow: Additional monthly take-home from W-4 optimization.

Wealth Building: Total dollars repositioned into wealth-building vehicles.

Note: Categories overlap intentionally, as retirement contributions create both tax savings AND wealth building. Total represents cumulative economic benefit, not simple addition.

Important Disclaimer: Projected values are illustrative estimates based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed. Past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Consult with your licensed professionals before implementation.

Scenario Comparison Summary

CONSERVATIVE SCENARIO

\$109,443

Foundational strategies only
No real estate acquisition
\$50K capital deployment

AGGRESSIVE SCENARIO

\$362,250

Full implementation with STR
Cost segregation + bonus depreciation
\$99K + \$70K RE deployment

Note: Wealth Building category removed from comparison totals to avoid double-counting with other categories. Adjusted totals reflect tax savings, income, appreciation, RE benefits, and cash flow only.

Section 8: Calendar Awareness & Key Dates

These dates represent typical deadlines and planning windows. Verify all deadlines with your tax professional as specific circumstances may vary.

Timeframe	Consideration	Details
January 2026	W-4 Adjustment Window	Beginning of year is optimal time to adjust withholding for full-year effect
Q1 2026	Backdoor Roth Execution	Execute early in year to maximize tax-free growth period
Q1-Q2 2026	STR Property Acquisition	Earlier acquisition = more depreciation days in first year
April 15, 2026	Tax Filing Deadline	2025 returns due; last day for prior-year IRA contributions
April 15, 2026	Solo 401(k) Employer Contributions	Employer portion can be contributed up to tax filing deadline (with extension)
Ongoing	Augusta Rule Events	Document legitimate business meetings throughout year (max 14 days)
Ongoing	Material Participation Tracking	Maintain contemporaneous log of hours spent on STR activities
Q4 2026	Year-End Tax Planning	Review projected income; consider additional strategies
December 31, 2026	Solo 401(k) Employee Contributions	Employee deferrals must be made by year-end
December 31, 2026	New Solo 401(k) Establishment	Plan must be established by year-end for current-year employee contributions

Section 9: Questions for Your Professional Team

These discussion points are designed to help you have productive conversations with your CPA, attorney, and financial advisor about implementing the strategies explored in this analysis.

Questions for Your CPA

- "Based on my income level and S-Corp structure, what is my exact marginal tax rate for planning purposes?"
- "Do I have any existing traditional IRA balances that would trigger the pro-rata rule for Backdoor Roth?"
- "Can you run a projection showing my tax liability with versus without the STR cost segregation strategy?"
- "What documentation do I need to maintain for the Augusta Rule to be defensible in an audit?"
- "How should I structure material participation tracking for the STR loophole, and what level of detail do you recommend?"
- "Given my \$270K Cardone Capital investment, how would STR losses interact with those passive losses?"
- "What is the optimal Solo 401(k) contribution strategy given my W-2 401(k) contributions?"
- "Should my STR be held in a new LLC or my existing S-Corp? What are the tax implications of each?"
- "What is reasonable compensation for my S-Corp based on comparable industry data?"
- "How does the QBI deduction work at my income level, and am I subject to limitations?"

Questions for Your Attorney

- "What entity structure do you recommend for the STR property given liability protection and tax considerations?"
- "How should I structure business interests in preparation for marriage to protect existing assets while optimizing tax benefits?"
- "Are there prenuptial agreement considerations for business entities and investment properties?"
- "What changes should I make to estate planning documents with marriage and future spouse business participation?"
- "How can I structure spousal employment in my S-Corp for maximum benefit while remaining compliant?"

Questions for Your Financial Advisor

- "How does the Bitcoin/STRC/ETF allocation scenario align with my overall financial goals and risk tolerance?"
- "What custody solutions do you recommend for Bitcoin holdings of this size?"
- "How should I phase into this allocation given current market conditions?"
- "What rebalancing strategy would you suggest for maintaining target allocations?"

- "How does this investment strategy coordinate with my existing retirement account allocations?"

Section 10: Professional Team Considerations

*Implementation of the strategies discussed requires coordination with qualified professionals.
Consider the following team members:*

Tax Professional (CPA)

Role: Tax planning, return preparation, strategy implementation, audit defense

Look For:

- Experience with real estate investors and STR strategies
- Knowledge of S-Corp optimization
- Understanding of cost segregation studies
- Proactive planning approach (not just compliance)

Questions to Ask: "How many STR investors do you work with? Are you familiar with the material participation requirements for the STR loophole?"

Financial Advisor

Role: Investment guidance, portfolio management, retirement planning

Look For:

- Fee-only or fiduciary standard
- Understanding of alternative assets (Bitcoin)
- Experience with high-income professionals
- Coordination with tax planning

Real Estate Attorney

Role: Entity structuring, property transactions, asset protection

Look For:

- Experience with investment property transactions
- Knowledge of LLC structuring for real estate
- Understanding of asset protection strategies
- Experience with prenuptial agreements if relevant

Questions to Ask: "What entity structure do you typically recommend for STR properties? How do you coordinate with CPAs on tax-optimal structuring?"

Cost Segregation Engineer

Role: Engineering-based property analysis for accelerated depreciation

Look For:

- Certified cost segregation professional
- Engineering-based (not accounting-based) studies
- Audit defense support included
- Experience with STR properties

Questions to Ask: "What is your methodology? Do you provide audit defense

Questions to Ask: "What is your experience with Bitcoin allocations? How do you coordinate investment strategy with tax planning?"

support? What is the typical ROI on your studies?"

Section 11: Progress Milestones

Consider these milestones as checkpoints for progress discussions with your professional team.

Milestone	Target Timeframe	Success Indicators
Foundation Complete	30 Days	W-2 401(k) maximized, W-4 optimized, Solo 401(k) established, Backdoor Roth executed
S-Corp Optimization	60 Days	Augusta Rule documented, Accountable Plan adopted, Home Office implemented, Reasonable compensation established
Investment Allocation	90 Days	Target allocation achieved (BTC/STRC/ETF), Custody solutions established, DCA strategy implemented
STR Acquisition	6 Months	Property identified and acquired, Entity structure complete, Property management systems established
Cost Segregation	7 Months	Study completed, Depreciation schedule finalized, Material participation tracking active
First Year Review	12 Months	Tax returns filed with all strategies, Value creation documented, Next year planning initiated

Note: These milestones are presented as considerations for planning discussions. Actual timelines will depend on individual circumstances, market conditions, and professional team availability. Adjust expectations based on your specific situation and professional guidance.

Section 12: Educational Resources

The following resources are provided for educational reference only. This is not an exhaustive list and inclusion does not constitute endorsement.

IRS Publications

- **Publication 587:** Business Use of Your Home (Home Office)
- **Publication 925:** Passive Activity and At-Risk Rules (Material Participation)
- **Publication 946:** How to Depreciate Property (Cost Segregation)
- **Publication 560:** Retirement Plans for Small Business (Solo 401k)
- **Publication 969:** Health Savings Accounts (HSA)
- **Publication 527:** Residential Rental Property (Rental Deductions)

2026 IRS Limits Reference (Verified January 2026)

Account Type	2026 Limit	Catch-Up (if applicable)
401(k) Employee Deferral	\$24,500	\$8,000 (age 50+) / \$11,250 (age 60-63)
401(k) Total (Employee + Employer)	\$72,000	\$80,000 with catch-up
Traditional/Roth IRA	\$7,500	\$1,100 (age 50+)
HSA (Family)	\$8,750	\$1,000 (age 55+)
HSA (Individual)	\$4,400	\$1,000 (age 55+)
SALT Deduction Cap	\$40,400	Income phase-out applies above \$500K
Child Tax Credit	\$2,200/child	Income phase-out applies

Section 13: Important Disclaimers

Educational Purpose

This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice. The information presented is based on data provided by you and general assumptions that may not reflect your complete financial situation.

Not Investment Advice

Legacy Investing Show and its staff are not registered investment advisers under the Investment Advisers Act of 1940. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented, including allocations to Bitcoin, STRC, VTI, VOO, or any other asset, are illustrative models for educational purposes only. They do not constitute a recommendation to buy, sell, or hold any particular investment.

Not Tax Advice

Tax strategies discussed in this document are educational explanations of how certain tax provisions work. Eligibility for any tax strategy, implementation details, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation. Tax laws change frequently; information presented reflects understanding as of January 2026.

No Guarantees

Projected values, potential savings, and scenario outcomes presented in this document are illustrative estimates based on stated assumptions. Actual results will vary, potentially significantly, based on market conditions, tax law changes, your specific implementation, and individual circumstances. Past performance of any asset class, including Bitcoin, does not guarantee future results. All investments carry risk of loss, including potential loss of principal.

Professional Consultation Required

Before implementing any strategy discussed in this document, you must consult with qualified licensed professionals including:

- A Certified Public Accountant (CPA) or tax attorney for tax matters
- A licensed attorney for legal, entity structuring, and estate planning matters
- A registered investment adviser for investment decisions
- Other specialists as appropriate for your situation

Risk Disclosure

Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market decline, vacancy, property damage, and illiquidity. Leverage (mortgages) amplifies both gains and losses. Tax strategies carry audit risk; aggressive positions may be challenged by the IRS. Past results and projections do not guarantee future performance.

Wealth Strategy Snapshot: Educational Analysis Prepared for Chris Vaisnoras | January 2026

Educational Analysis Only | Not Investment, Tax, or Legal Advice | Consult Licensed Professionals Before Implementation

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